

A BUYER'S GUIDE

TO INVESTING IN ROATAN

KW ROATAN
KELLER WILLIAMS



TOMAS FIGUEROA

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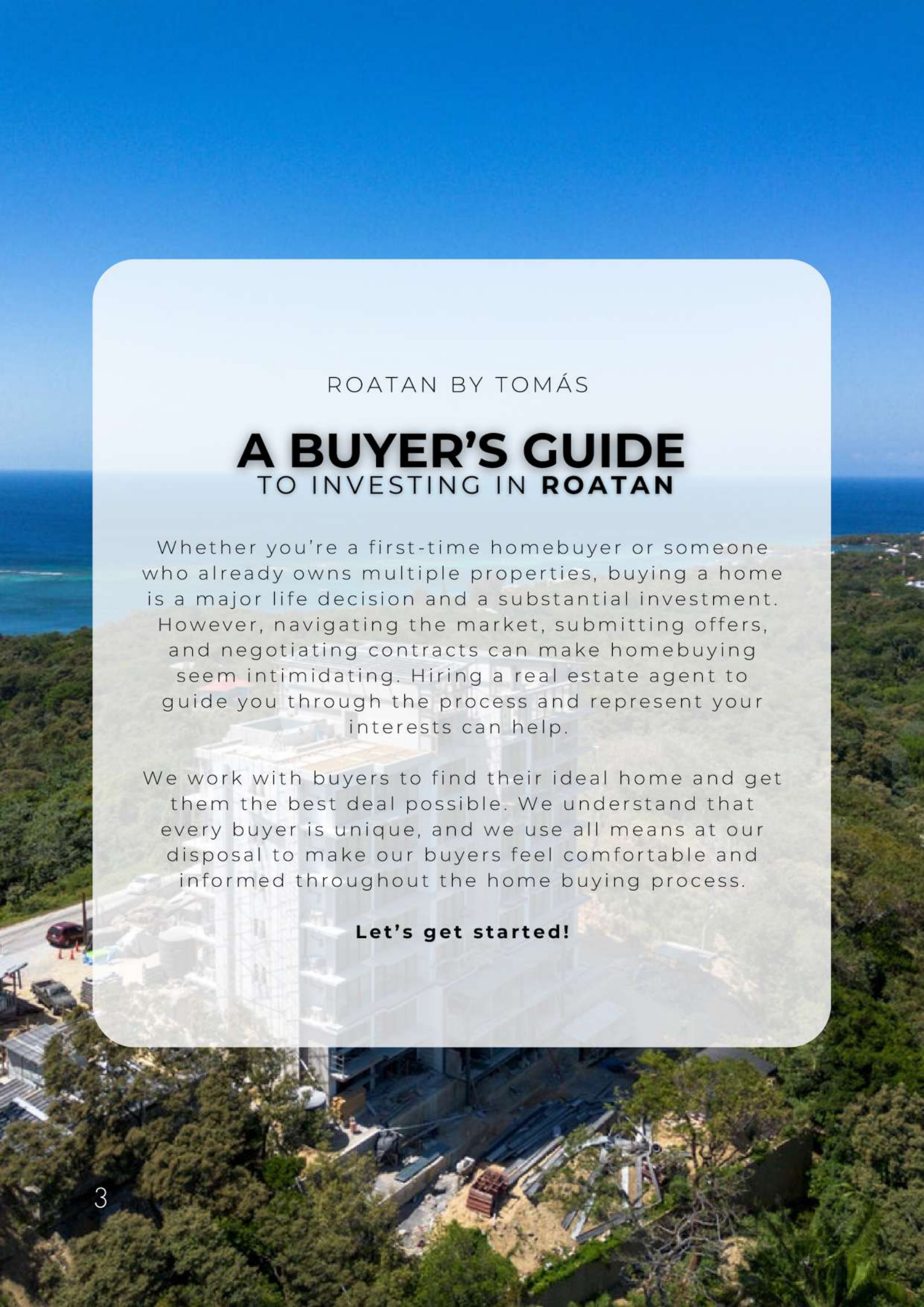
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Author: Tomás Figueroa

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DISCLAIMER

This guide is intended to provide helpful information to assist you in your journey of buying property and investing in Roatan, Honduras. While we strive to provide accurate and up-to-date information, we acknowledge that laws, conditions, and prices can change. The author, editor, and publisher cannot be held responsible for any such changes or for any loss or risk you may incur, directly or indirectly, as a result of the information contained within this book. We recommend consulting with qualified legal and financial professionals to ensure you have the most current information specific to your situation.

An aerial photograph of a tropical coastline. In the foreground, there is a dense green forest. In the middle ground, a white, semi-transparent rectangular box with rounded corners is centered, containing text. Behind the box, a modern white building with a flat roof and large windows is visible, situated on a hillside. The background shows a clear blue sky and a turquoise ocean with white waves breaking on a sandy beach.

ROATAN BY TOMÁS

A BUYER'S GUIDE TO INVESTING IN **ROATAN**

Whether you're a first-time homebuyer or someone who already owns multiple properties, buying a home is a major life decision and a substantial investment. However, navigating the market, submitting offers, and negotiating contracts can make homebuying seem intimidating. Hiring a real estate agent to guide you through the process and represent your interests can help.

We work with buyers to find their ideal home and get them the best deal possible. We understand that every buyer is unique, and we use all means at our disposal to make our buyers feel comfortable and informed throughout the home buying process.

Let's get started!



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REAL ESTATE MARKET ORGANIZATION

Composed by 17 brokers, the Roatan Realtors Association (RRA) aims to elevate professionalism within the local industry. It is part of both the Honduran National Real Estate Association (CANABIRH) and the National Association of Realtors in the US (NAR), adhering to established Standards of Practice and Ethics Codes.

The Roatan Multiple Listing Service (MLS) is an uncommon tool for a Latin-American country. It fosters collaboration among real estate professionals and creates a more client-centric environment. The MLS aims to streamline the distribution of property information, allowing agents to efficiently search and access details about available homes. This system is accessible to the public, enabling clients to research property values and explore properties online.

You can browse the MLS on www.roatanbytomas.com

WHO CAN BUY IN ROATAN?

Locals have no restrictions when it comes to purchasing property in Honduras.

FOREIGNERS

Honduran law, as outlined in Article 107 of the Constitution, permits foreign nationals to purchase up to 3,000 square meters (approximately 0.74 acres) of land in their own name for residential purposes. This ownership, however, is subject to a key restriction: the property must be located within 40 kilometers of the country's borders or coastlines.

THEN HOW CAN I BUY IN ROATAN?

While Honduran law generally limits foreign land ownership, Article 5 of Congress Decree #90-1990 provides a significant exception, allowing foreigners to purchase properties for residential or tourism projects anywhere in the country, regardless of distance from the coast. The caveat is a requirement (never enforced) to demonstrate property improvements within three years to establish residency.

For those seeking to purchase property exceeding 0.74 acres, forming a Honduran corporation is necessary. Larger areas for tourism projects require special authorization from the Honduran Institute of Tourism.

It's important to note that foreigners are limited to owning one residential property. The municipality won't allow multiple properties in a single foreign name.

These regulations offer a pathway for foreign investment in Honduras while aiming to protect national interests and promote responsible land use.

THE BUYING PROCESS

PRE-SEARCH

FINDING A QUALIFIED
REAL ESTATE AGENT

SEARCHING FOR A PROPERTY

MAKING AN OFFER

FINDING A QUALIFIED
REAL ESTATE ATTORNEY

CONDUCTING DUE DILIGENCE

CLOSING

THE BUYING PROCESS

PRE-SEARCH

Before embarking on your search, take a moment to clearly define your needs, expectations, and your budget for both the property and closing costs. The most important thing you should know is how much you can comfortably spend on your home. If you're paying all cash, make sure you have funds available on time and if you're financing, you'll need to have enough cash available to make a down payment plus closing costs.

FINDING A QUALIFIED REAL ESTATE AGENT

Who you work with matters!

Your realtor should:

- Be your personal source of knowledge about the buying process, different types of homes, neighborhood amenities, and market dynamics.
- Help you clarify your real estate goals in relation to the local market and set your expectations on price, home size, and more.
- Provide you with access to a network of agents, sellers, mortgage brokers, real estate attorneys, and developers and keep you updated on off-market properties that have not been listed.
- Schedule showings that align with your schedule.
- Attend showings with you in order to facilitate a smooth showing process and give you a different perspective than that of the listing agent.
- Submit offers on your behalf and negotiate with the seller/seller's agent to get you the best possible deal.
- Manage the contractual process and the back-and-forth negotiation between you, the seller, and the attorneys that represent each side.
- Coordinate your closing and final walk-through.
- Be a resource should you ever want information about the market or need to sell your home in the future.

In your Roatan real estate journey, a trustworthy agent who prioritizes your needs is paramount. Honesty is key; your agent should transparently guide you through the process, effectively negotiate on your behalf, and ultimately save you both time and money.

THE BUYING PROCESS

When selecting an agent, take your time to interview several candidates, asking insightful questions about their specialties, experience, and Roatan knowledge. This ensures they can accurately match properties to your preferences and needs.

A great agent will be a valuable asset, pre-screening properties to filter out unsuitable options and focusing on those that meet your criteria. They will also prioritize thorough home inspections, ensuring you have accurate information and negotiating power when needed.

To find your ideal agent, leverage online resources such as Google, websites, and social media reviews to create a shortlist. Also, ensure the agent is a member of the Roatan Realtors Association (RRA), guaranteeing professional standards and access to a wide range of listings.

SEARCHING FOR A PROPERTY

Jumpstart your Roatan property search with the Roatan Multiple Listing Service (MLS) website, which you can browse at www.roatanbytomas.com. Think of the MLS as a curated collection of pre-approved properties, giving you peace of mind that all documents are in order for a seamless transaction.

But don't stop there! Ask your agent about potential off-market properties. A well-connected agent with in-depth market knowledge can be your secret weapon for discovering hidden gems. Your agent will then present you with various options and arrange property showings, either in-person or virtually. Take your time to explore each property at your own pace. Don't hesitate to ask for a second showing if needed.

MAKING AN OFFER

Found your dream property in Roatan? It's time to make an offer! Your real estate agent's expertise is crucial in this stage. They'll prepare a formal offer and negotiate on your behalf, safeguarding your interests with appropriate contingencies.

THE BUYING PROCESS

KEY COMPONENTS OF AN OFFER:

- **Offer Price:** A pivotal aspect of negotiation. Researching the property's history and ownership can inform your starting point.
- **Contingencies:** Conditions that must be met for the sale to proceed, protecting you after acceptance. Common contingencies include a satisfactory home inspection and financing approval.
- **Closing Date:** The anticipated date for finalizing the sale and transferring ownership.
- **Payment Terms:** Specify your payment method, whether it's a cash payment or details of the mortgage if financing.

Negotiation and Acceptance:

After submitting your offer, the seller can accept, reject, or counteroffer. Your agent will negotiate to reach a mutually agreeable deal.

Upon Acceptance:

You'll receive a signed copy, and within 7-10 business days, you'll transfer a 10% earnest money deposit to the listing broker's escrow account, creating a binding contract.

Closing (Usually 30 Days After Contract):

Choose a lawyer to represent you and conduct due diligence to ensure everything is in order before closing.

FINDING A QUALIFIED REAL ESTATE ATTORNEY

A Honduran real estate attorney is essential for navigating legal aspects of property ownership.

They'll ensure a smooth transaction and advise you on:

- Honduran property law and regulations
- Foreign ownership requirements
- Forming a Honduran corporation (if needed)
- Title searches and due diligence
- Document drafting and review

You choose your lawyer. Realtors can recommend options, but the final decision is yours.

THE BUYING PROCESS

Resources for Finding a Lawyer:

- Agent recommendations
- Honduran Bar Association website:
- US Embassy:

Cost: Negotiate legal fees directly with the lawyer.

CONDUCTING DUE DILIGENCE

Document Review: Your lawyer will meticulously examine all relevant documents, ensuring the property's legal status is sound. This includes:

- **Title Search:** A comprehensive review of the property's ownership history, verifying the seller's legal right to sell and checking for any liens, encumbrances, or claims against the property.
- **Survey Review:** The seller must provide an updated survey (less than six months old). Your lawyer will confirm the property's boundaries match the legal description in the title, preventing future disputes with neighbors or encroachments.
- **Tax Receipts and Permits:** Verification that all property taxes are paid, and the property complies with local regulations.
- **Corporation Due Diligence (If Applicable):** If the property is held within a corporation, your lawyer will review corporate documents, tax obligations, and any relevant courthouse records.

Physical Inspection: It's strongly recommended to hire a professional inspector to assess the property's condition. This can uncover potential issues that may need to be addressed before finalizing the purchase. Due diligence is your safeguard against unforeseen problems, protecting your investment and ensuring you make a confident, informed decision.

CLOSING COSTS AND COMMISSIONS

After due diligence, you'll finalize your purchase by paying the remaining balance and closing costs. Wire the balance to your broker's escrow account at least 5 business days before closing. Remember, earnest money goes to the seller's broker, while closing funds go to yours.

Closing costs typically range from 3 - 6% of the purchase price, including:

- **Transfer Tax (Impuesto de Tradicion):** 1.5% of the property value, paid to the tax authority (SAR).

THE BUYING PROCESS

- Cadastral Certificate: 1-2% of the purchase price (in Bay Islands) plus \$50 for inspection.
- Registry Fees: 0.5%, covering stamps, registration, etc.
- Legal Fees: 2-3%, negotiated directly with your lawyer.
- Other Costs: Wire transfer fees, corporation creation (if applicable), promissory sale fees (if applicable), mortgage fees (if applicable), escrow fees, RTN cards, and security fees.

Your agent will provide a closing statement detailing all costs and prorated fees before you wire the final funds.

Seller's Expenses:

- Capital gains taxes (4% in Roatan, 10% on the mainland)
- Commissions for both agents
- Updated cadastral certificate and survey

CLOSING PROCESS

The closing is the final step, officially transferring property ownership to you. It's conducted by a Honduran public notary who ensures legal compliance.

Buyer Presence: Required if the notary needs your signature or for registered mortgages.

Seller Presence: Always required, unless a registered Power of Attorney (POA) is provided. If the POA isn't notarized, an international notarized and apostilled POA is needed for registration.

CONGRATULATIONS!

**You are now the proud owner
of your very own piece of paradise in Roatan!**

FURTHER CONSIDERATIONS

TYPES OF CLOSINGS

1. Exchange of Shares (S.A. Corporations):

- For residential properties held in a corporation, the process involves transferring shares to the buyer, who becomes a shareholder and administrator.
- Buyer presence and Power of Attorney are not required, but using a notary is recommended.
- For properties over 3,000sqm with foreign and/or local shareholders, a Honduran citizen must remain a shareholder.

2. Acquiring the Asset and Establishing a New Corporation:

- Buyers can purchase the property and place it under a new corporation.
- This incurs setup fees for the new corporation, typically around \$1,500 USD plus closing costs.

3. Promissory Sale:

- Used when the property is under construction or awaiting documentation, and the cadastral certificate hasn't been issued.
- A percentage of funds is usually retained until closing, with possession and closing dates differing.

CLOSING DOCUMENTS CHECKLIST

The closing process in Roatan involves several key documents that ensure a secure and legal property transfer:

- ☐ • **Agreement:** Outlines the terms of the sale, including price, closing date, and contingencies.
- ☐ • **Title (Escritura Pública):** Legal proof of property ownership, detailing its history and ensuring the seller's right to sell. Your attorney must review the title and its history for at least 20 years prior.
- ☐ • **Power of Attorney:** Allows a representative to act on behalf of the seller if they cannot be present.
- ☐ • **Survey:** A professional map confirming property boundaries and dimensions, crucial for avoiding disputes.
- ☐ • **Cadastral Certificate (Certificado Catastral):** Official document registering the property with the municipality, detailing location, size, and cadastral value for tax purposes.
- ☐ • **Tax Receipts:** Proof of up-to-date property tax payments.
- ☐ • **IDs and RTN Cards:** Identification for all parties involved.
- ☐ • **Corporation Info (If Applicable):** If using a corporation, details like the name and share distribution are needed.
- ☐ • **Money in Escrow:** Full payment and closing costs held by a neutral third party.
- ☐ • **Additional Documents:** CC&Rs, HOA agreements, closing statement, bank due diligence, and potentially others depending on the transaction (e.g., corporation formation documents for foreign buyers exceeding land limits).

All documents should be carefully reviewed with your lawyer to understand your rights and obligations as a property owner. After signing and payment, the lawyer/notary registers the deed, officially transferring ownership.

Important Note: All Roatan real estate transactions require a lawyer (notary). Private documents are not legally valid against third parties and must be recorded at the Registry House, a process that currently takes 3-4 months.

FINANCING AND RESIDENCY

SELLER FINANCING:

- Directly negotiate terms with the seller, including interest rate, down payment, and repayment schedule.
- Typically involves a 50% down payment and 3-5 year repayment at US-like interest rates.
- Property is held in a corporation with 50/50 ownership until fully paid.
- All documents are signed at closing and held in escrow, allowing for smooth transfer upon full payment or default.

CASH PURCHASE:

- Offers the most flexibility and avoids financing complexities.
- Allows for better price negotiation.

FINANCING FROM HOME COUNTRY BANK:

- Possible, but conditions vary.
- Usually requires two years of residency and proof of income.

OTHER BANKS:

- Some international banks offer mortgages similar to seller financing.



TYPES OF CORPORATIONS

FOR REAL ESTATE PURCHASES IN HONDURAS

WHY PUT YOUR REAL ESTATE INVESTMENT UNDER CORPORATIONS IN ROATAN?

In Roatan, holding real estate within a corporation offers numerous advantages:

- **Asset Protection:** Shields personal assets from property-related liabilities.
- **Tax Efficiency:** Potential tax benefits and deductions, particularly for commercial properties.
- **Simplified Estate Planning:** Streamlines the transfer of assets to heirs.
- **Sales Incentive:** Offers a 3% savings to future buyers, enhancing the property's marketability.
- **Flexible Investment Management:** Provides a structured platform for managing real estate portfolios.
- **Confidentiality and Privacy:** Allows owners to maintain anonymity regarding their holdings.

These benefits make corporations a strategic choice for property ownership in Roatan, providing legal, financial, and privacy advantages.

To buy more than 0.74 acres of property in Honduras, you'll need to establish a Honduran corporation. The most common types used for real estate are:

- **Sociedad de Responsabilidad Limitada (SRL):** Similar to a Limited Liability Company (LLC), this offers limited liability and fewer formalities.
- **Sociedad Anónima (SA):** Similar to a C-Corp, this allows for easier capital raising through shares but has more regulations.

What You Can Buy with a Corporation:

- Residential properties (houses, apartments, condos)
- Commercial properties (office buildings, retail stores, warehouses)
- Industrial properties
- Land (vacant, agricultural, development plots)
- Rental properties (residential and commercial)
- Shares in other companies

Requirements, Costs, and Timelines:

- **Requisites:** Copies of passports and RTN cards for shareholders and administrators. At least one shareholder must be a Honduran citizen.
- **Costs:** \$1,500 USD for corporation setup, \$300 USD for RTN card.
- **Time Frame:** 15-20 days.

TYPES OF CORPORATIONS

MARRIAGE ADVANTAGES:

Honduras recognizes community property, simplifying joint ownership for spouses and offering benefits for inheritance and property transfer.

TYPES OF BUSINESS ENTITIES IN HONDURAS

- Sociedad en Nombre Colectivo
- Sociedad Anónima (SA)
- Sociedad de Responsabilidad Limitada (SRL)
- Sociedad en Comandita Simple
- Sociedad en Comandita por Acciones
- Sociedad Cooperativa

	Sociedad Anónima (S.A.)	Sociedad de Responsabilidad Limitada (SRL)
Entails:	• Minimum capital of L25,000. • Capital divided into shares, which can vary in nominal value and privileges. • Shares are freely transferable.	• Minimum capital of L5,000. • Capital divided into social parts that are equal, accumulative, and divisible. • Limited to a maximum of 25 partners.
Number of Partners:	• Can be constituted with a single shareholder (permitted by Decree No. 284-2013). • No limit on the number of shareholders.	• Can be constituted with a single partner. • Limited to a maximum of 25 partners.

TYPES OF CORPORATIONS

Liability	Shareholders are not personally liable for the company's debts, only up to the amount of their investment.	Partners are not personally liable for the company's debts, only up to the amount of their capital contribution.
Transfer of Ownership:	Shares can be easily transferred by endorsing the share certificates, provided there are no restrictions in the articles of incorporation.	- Transfer of social parts is restricted and must comply with the company's bylaws or, in their absence, the law. - Other partners have the right of first refusal, and any transfer must be documented publicly.
Type of Activities:	- Better suited for businesses requiring substantial capital and a higher number of shareholders. - Suitable for larger scale activities with anticipated high capital mobility.	- Suitable for small and medium enterprises, family businesses, or professional firms that do not require significant capital. - Cannot engage in activities reserved for Sociedades Anónimas, such as banking, pension fund management, and insurance.

TYPES OF CORPORATIONS

CHOOSING THE RIGHT CORPORATE STRUCTURE

When deciding between an SA and an SRL, consider your business's scale, the number of partners, required capital, and planned activities. The SA offers flexible share transfers and suits larger enterprises, while the SRL is better for smaller, closely-held companies.

HOLDING COMPANIES IN HONDURAS

While not explicitly regulated, holding companies are permitted under Honduran law. Recent reforms allow single-member companies to own shares in other companies, facilitating centralized management and strategic control. However, Honduran law considers companies as commercial objects, not legal entities, so they cannot form holding structures as understood in other countries.

USING AN AMERICAN LLC

An American LLC can own property in Honduras but may need to register as a foreign entity.

This involves:

- Registering with Honduran authorities
- Appointing a local legal representative
- Submitting required documentation (apostilled and translated)
- Complying with Honduran regulations

TYPES OF PROPERTIES IN ROATAN

Roatan offers diverse real estate options:

- **Residential:** Home sites, single-family homes, condos, townhouses
- **Commercial:** Existing businesses, commercial land
- **Undeveloped Land:** Large parcels for development projects
- **Unique Properties:** Private islands, luxury villas, eco-friendly homes



FINAL THOUGHTS

Investing in Roatan real estate offers a compelling blend of stability, growth potential, and lifestyle benefits. Honduras provides a secure legal framework for foreign ownership, and the purchase process is relatively straightforward with professional guidance.

Roatan's attractive property taxes, thriving tourism industry, and robust vacation rental market create opportunities for both appreciation and income generation. Whether you're seeking a personal retreat, a rental investment, or a retirement haven, Roatan's diverse real estate market has something to fulfill your dreams.

READY TO EMBARK ON YOUR ROATAN REAL ESTATE JOURNEY?

Contact

Roatan by Tomás

today for personalized
guidance and expert
support in finding your
perfect property.

+504 9533-8326

tomas@kwroatan.com

www.roatanbytomas.com

